1 INTRODUCTION TO CORPORATE FINANCE

MEMORY CHART

1 CORPORATE FINANCE

Meaning

- It deals with raising and using of finance by a corporation.
- It deals with financing the activities of corporation, capital structuring and making investment decisions.

Definition

- "Corporate finance deals primarily with the acquisition and use of capital by business corporation." — **Henry Hoagland**

Includes

- Financial Planning
- Study of Capital Market
- Money Market
- Share Market
- Capital Formation
- Foreign Capital

Includes

BASIS OF CORPORATE FINANCE

(A) Financing Decision

- Decision regarding source of raising finance
  - — Equity or Debt Capital
  - — Bank Loans
  - — Public Deposits
  - — Debentures, etc.

(B) Investment Decision

- Decision regarding use of funds in systematic manner so as to bring maximum returns to its owners.

2 IMPORTANCE OF CORPORATE FINANCE

(1) Helps in decision making.
(2) Helps in raising capital for a project.
(3) Helps in research and development.
(4) Helps in smooth running of business firm.
(5) Brings co-ordination between various activities.
(6) Promotes expansion and diversification.
(7) Helps in managing risk.
(8) Helps in replacing old assets.
(9) Payment of dividend and interest.
(10) Payment of taxes/fees.

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3 CAPITAL REQUIREMENTS

- First and foremost step to take decision on the amount of capital requirement to start and run the business.
- Drafted keeping in mind present and future requirements of the business.

(A) Fixed Capital

- It refers to capital invested for acquiring fixed assets.
- It stays in business for long period.
  E.g.: Land and building, plant and machinery, furniture, etc.
- Required by both - newly established company and existing company as well.
- Funding for fixed capital comes from:
  - Issue of shares or debentures or bonds or through long term loans.

(B) Working Capital

- It refers to capital required to carry out day to day business activities.
- It is needed for smooth functioning of the business.
- It is required for:
  - Building up inventories
  - Financing receivables.
  - Covering operating expenses
- **Gerstenbergh:** "The excess of current assets over current liabilities."

4 FACTOR AFFECTING –

(A) Fixed Capital Requirement

(a) Nature of business
(b) Size of business
(c) Scope of business
(d) Extent of lease and rent
(e) Arrangement of sub-contract
(f) Acquisition of old assets
(g) Acquisition of assets on concessional rates.
(h) International conditions
(i) Trend in economy
(j) Population trend
(k) Consumer preference
(l) Competitive factor

(B) Working Capital Requirement

(a) Nature of business
(b) Size of business
(c) Volume of sales
(d) Production cycle
(e) Business cycle
(f) Terms of purchase and sales
(g) Credit control
(h) Growth and expansion
(i) Management ability
(j) External factors

5 CAPITAL STRUCTURE

(Reduced Syllabus for 2020-21)

Focus on the following questions: Chatur's Important Questions

Q.1. Explain the importance of corporate finance.

Q.2. Discuss the factors determining working capital requirement.

Q.3. Distinguish between fixed capital and working capital.